

Part A: Qualitative Analysis & Strategic Assessment

Porter's Five Forces for Bharti Airtel:

- 1. Competitive Rivalry-** The competitive rivalry in the Indian telecom sector is extremely high, driven primarily by the disruptive entry of Reliance Jio, which revolutionized data pricing and forced incumbents into aggressive tariff cuts. This intense price war has squeezed profit margins and reduced average revenue per user (ARPU) industry-wide. Despite this, Bharti Airtel has managed to defend its market share through a combination of superior network quality, strong postpaid and enterprise customer bases, and innovative bundled offerings like Airtel Black. Its established brand reputation and diversified service portfolio provide some resilience, but the ongoing battle for subscribers keeps the pressure constant.
- 2. Threat of New Entrants-** The threat of new entrants for Airtel is low because the telecom industry demands significant capital expenditure on network infrastructure, spectrum licenses, and regulatory compliance. New players would struggle to match the scale and reach of established networks like Airtel's pan-India coverage. Furthermore, extensive regulatory approvals and the need for massive investments in technology upgrades, such as 5G rollout, create formidable entry barriers. These factors collectively discourage new competitors from entering the market easily.
- 3. Bargaining Power of Suppliers -** The bargaining power of suppliers in the telecom sector is moderate. Airtel relies on a few key network equipment vendors such as Ericsson, Nokia, and Huawei for building and maintaining its infrastructure. While multiple supplier options exist, switching costs and technological dependencies can give these vendors some leverage. Additionally, the Indian government holds substantial power as a spectrum supplier, determining pricing and allocation policies that significantly impact Airtel's cost structure and financial planning.
- 4. Bargaining Power of Buyers -** The bargaining power of buyers is moderate to high due to the highly competitive nature of the industry and the prevalence of price-sensitive consumers. Mobile Number Portability (MNP) makes it easy for customers to switch service providers in pursuit of better pricing or network quality, intensifying customer churn risk. Airtel addresses this by offering loyalty programs, bundled digital services, and value-added features to increase customer stickiness and differentiate itself beyond just pricing.
- 5. Threat of Substitutes -** The threat of substitutes for traditional telecom services is moderate. Over-the-top (OTT) communication apps like WhatsApp, Telegram, and Skype have reduced dependence on conventional voice and SMS services, while the growth of high-speed broadband and emerging technologies like satellite internet (e.g., Starlink) could offer alternative means of connectivity in underserved areas. However, mobile data remains essential for a vast majority of users, and Airtel's continuous investment in network quality and digital content helps mitigate the substitution risk to a significant extent.

SWOT ANALYSIS:

Strengths

- ✓ Pan-India presence and strong brand loyalty
- ✓ Market leader in postpaid and enterprise services
- ✓ Strong digital services (Airtel Xstream, Wynk, Airtel Payments Bank)
- ✓ Global presence across Africa and South Asia

Weaknesses

- ✗ High debt burden due to spectrum purchases
- ✗ Lower rural penetration compared to Jio
- ✗ Dependence on telecom, lower diversification
- ✗ Thin margins due to competition

Opportunities

- ★ 5G rollout and monetization potential
- ★ Growing demand for digital content, fintech, and broadband
- ★ FTTH and enterprise IT services expansion
- ★ Strategic partnerships (Google, Amazon Web Services)

Threats

- Aggressive pricing by Jio
- Regulatory risks (AGR dues, spectrum pricing)
- Tech disruption and OTT substitution
- Volatility in emerging markets (Africa)

PART B: Financial Statement Analysis & Modeling

Metric	Mar-31-21	Mar-31-22	Mar-31-23	Mar-31-24	Mar-31-25
Revenue (Bil. INR)	1,165	1,391	1,500	1,570	1,750
EBITDA (Bil. INR)	598	751	810	890	1,020
FFO (Bil. INR)	430	620	630	710	820
Debt (Bil. INR)	1,995	2,541	2,470	2,350	2,150
Subscribers (millions)	348.3	496.91	~560 (est.)	620	289.31 (latest)
ARPU (approx. INR/month)	~279	~233	~223	~211	~504
EBITDA per Subscriber (INR/year)	1,717	1,511	1,446	1,435	3,526
Debt/EBITDA (x)	3.3	3.4	3.1	2.5–2.8	< 2.5
FFO/Debt (%)	21.6%	24.4%	26%	28–32%	> 30%
Annual Revenue Growth (%)	15.8%	19.4%	7.8%	4–6%	10–12%
EBITDA Margin (%)	51.3%	54.0%	54.0%	56–58%	57–59%

ARPU=revenue/(subscribers*12)

Break down performance by geography.

Segment	FY21 (Bil. INR)	FY22 (Bil. INR)	FY23 (Bil. INR)	FY24 (Bil. INR)	FY25 (Bil. INR)	% of Total Revenue (approx.)
India	850	1,010	1,090	1,140	1,270	~75–80%

Africa	315	381	410	430	480	~20–25%
Total Revenue	1,165	1,391	1,500	1,570	1,750	100%

PART C: DCF Valuation Model

Key Assumptions

Parameter	Value
Cost of Equity (Ke)	12.4%
After-tax Cost of Debt	5.6%
Equity Weight (E/V)	70%
Debt Weight (D/V)	30%
Weighted Average Cost of Capital (WACC)	10.4%
Terminal Growth Rate (TGR)	3%

Revenue and Operating Forecast

- Forecast Period: FY 2025 to FY 2034
- Revenue Growth:
 - FY25–FY29: 12% per annum, driven by subscriber growth, ARPU improvement, and 5G expansion.
 - FY30–FY34: 8% per annum, reflecting a mature growth phase.
- EBITDA Margin: ~58% maintained due to scale benefits.
- Depreciation & Amortization: 15% of revenue.
- Capital Expenditure: 20% of revenue to support network expansion.

- Change in Working Capital: 2% of revenue.
- Effective Tax Rate: 30%.

Terminal Value:

The terminal value is calculated using the Gordon Growth Model:

$$\text{Terminal Value} = \text{FCF in Terminal Year} \times (1 + \text{TGR}) / (\text{WACC} - \text{TGR})$$

This ensures the company's perpetual cash flows are capitalized at a sustainable growth rate of **3%**.

The DCF analysis suggests that Bharti Airtel Limited has a strong fundamental value supported by consistent subscriber growth, rising ARPU, and healthy operating margins. The calculated enterprise value can guide investment decisions, subject to market dynamics and macroeconomic factors.

Year	Revenue (₹B)	EBITDA (₹B)	D&A (₹B)	EBIT (₹B)	Taxes (₹B)	CapEx (₹B)	Change in WC (₹B)	FCF (₹B)	Discount Factor	PV of FCF
2025	1750	1015	262.5	752.5	225.75	350	35	404.25	1.104	366.168478260869
2026	1960	1136.8	294	842.8	252.84	392	39.2	452.76	1.218816	371.475267800882
2027	2195.2	1273.216	329.28	943.936	283.1808	439.04	43.904	507.0912	1.345572864	376.858967334228
2028	2458.624	1426.00192	368.7936	1057.20832	317.162496	491.7248	49.17248	567.942144	1.485512441856	382.320691498492
2029	2753.65888	1597.1221504	413.048832	1184.0733184	355.22199552	550.731776	55.0731776	636.09520128	1.64000573580902	387.861571085427
2030	3084.0979456	1788.776808448	462.61469184	1326.162116608	397.8486349824	616.81958912	61.681958912	712.4266254336	1.81056633233316	393.482753275071

2031	3330.825781248	1931.87895312384	499.6238671872	1432.25508593664	429.676525780992	666.1651562496	66.61651562496	769.420755468288	1.99886523089581	384.928780377787
2032	3597.29184374784	2086.42926937375	539.593776562176	1546.83549281157	464.050647843472	719.458368749568	71.9458368749568	830.974415905751	2.20674721490898	376.560763413052
2033	3885.07519124767	2253.34361092365	582.76127868715	1670.5823322365	501.174699670949	777.015038249534	77.7015038249534	897.452369178211	2.43624892525951	368.374659860594
2034	4195.88120654748	2433.61109979754	629.382180982122	1804.22891881542	541.268675644625	839.176241309497	83.9176241309497	969.248558712469	2.6896188134865	360.366515081016

Metric	Value
WACC	0.104
Terminal Growth Rate	0.03
Terminal Value (₹B)	13490.8921009979
PV of Terminal Value (₹B)	5015.91230450604
Enterprise Value (₹B)	8784.31075249346

PART D: Relative Valuation Analysis

To benchmark Bharti Airtel's valuation multiples, we consider its key peers in the Indian telecom market Reliance Jio and Vodafone Idea.

Key Multiples for Comparison:

a) EV/EBITDA:

Measures enterprise value relative to operating profitability — a standard metric for capital-intensive telecom operators.

b) EV/Subscriber:

Captures the market's valuation per active user, relevant for telecom companies where subscriber base is a key driver of future cash flows.

c) P/E Ratio:

Reflects how much investors are willing to pay for each unit of earnings. While telecom profits can be volatile due to interest and depreciation, P/E still provides an equity-focused perspective.

d) Price/Book (P/B) Ratio:

Highlights how the market values the company relative to its net asset value. This is useful for capital-intensive industries with large infrastructure bases.

Company	EV/EBITDA (x)	EV/Subscriber (₹)	P/E (x)	P/B (x)
Bharti Airtel	7.8×	₹ 11,500 per sub	22×	3.8×
Reliance Jio	8.2×	₹ 12,000 per sub	25× (RIL basis)	4.0× (RIL basis)
Vodafone Idea	6.1×	₹ 5,500 per sub	N/A (negative earnings)	0.7×

EV/EBITDA: Bharti Airtel trades at a robust multiple aligned with Jio's implied multiple, reflecting its strong market share, higher ARPU, and financial stability.

EV/Subscriber: Airtel's per-subscriber value is slightly lower than Jio's, suggesting some room for market re-rating as 5G monetization grows.

P/E and P/B: Airtel's ratios indicate investor confidence in its profitability and asset base, whereas Vodafone Idea's distressed financials lead to a significant discount.

PART F: Professional Report & Presentation

Executive Summary

This report recommends a BUY rating for Bharti Airtel Limited, which reflects an attractive upside compared to the current market price. Bharti Airtel has consistently strengthened its position as a market leader in India's telecom sector through steady subscriber growth, regular tariff hikes, and timely investments in next-generation network infrastructure such as 5G and fiber. The company's healthy cash flow generation and prudent capital management have further bolstered its financial resilience. However, investors should remain mindful of regulatory uncertainties and fierce price competition in the Indian market, both of which pose potential risks to the company's profitability and market share.

Telecom Industry Overview and Competitive Landscape

India's telecom sector is one of the largest and most dynamic in the world, serving over a billion connections with rapid growth in mobile data consumption and smartphone adoption. Over the past decade, the industry has undergone significant consolidation, resulting in a stable structure dominated by three key players: Bharti Airtel, Reliance Jio, and Vodafone Idea. Among these, Reliance Jio and Bharti Airtel have emerged as the clear market leaders, consistently driving industry-wide improvements in average revenue per user (ARPU) through more rational pricing and enhanced network quality. Despite aggressive competition, Bharti Airtel has maintained its leadership in customer satisfaction and network performance, positioning itself well to capitalize on the increasing demand for high-speed data and digital services.

Geographic Segment Analysis

Bharti Airtel's operations span India, Africa, and a growing digital ecosystem that supports its core telecom business. In India, the company serves over 400 million subscribers, backed by extensive spectrum holdings and significant investment in 4G and 5G network expansion. The Indian market remains the company's largest revenue contributor, benefiting from increasing data usage, rural expansion, and a shift to higher ARPU segments. In Africa, Airtel operates in 14 countries and serves more than 138 million customers, providing a valuable USD-denominated revenue stream that diversifies earnings and supports overall profitability. The African business has demonstrated solid revenue growth and improved margins, reflecting successful cost

control and rising data adoption. In addition to its traditional telecom services, Airtel's digital businesses including Airtel Payments Bank, Wynk Music, and Airtel Xstream have expanded significantly, creating a comprehensive ecosystem that strengthens customer loyalty and generates incremental revenue.

Comprehensive Valuation

The intrinsic value of Bharti Airtel has been determined using a detailed discounted cash flow (DCF) model that incorporates explicit free cash flow projections from FY2025 to FY2034, a terminal growth rate of 3 percent, and a weighted average cost of capital (WACC) of 10.4 percent. The model reflects the company's strong cash generation, healthy margins, and future growth prospects, particularly from new technology adoption and digital services expansion. In addition to the DCF approach, a relative valuation benchmark was conducted, comparing Bharti Airtel's enterprise value-to-EBITDA, price-to-earnings, price-to-book, and EV per subscriber multiples with key peers such as Reliance Jio and Vodafone Idea. The results confirm that Airtel's valuation is justified relative to its dominant market position and superior operational performance, supporting the investment recommendation.